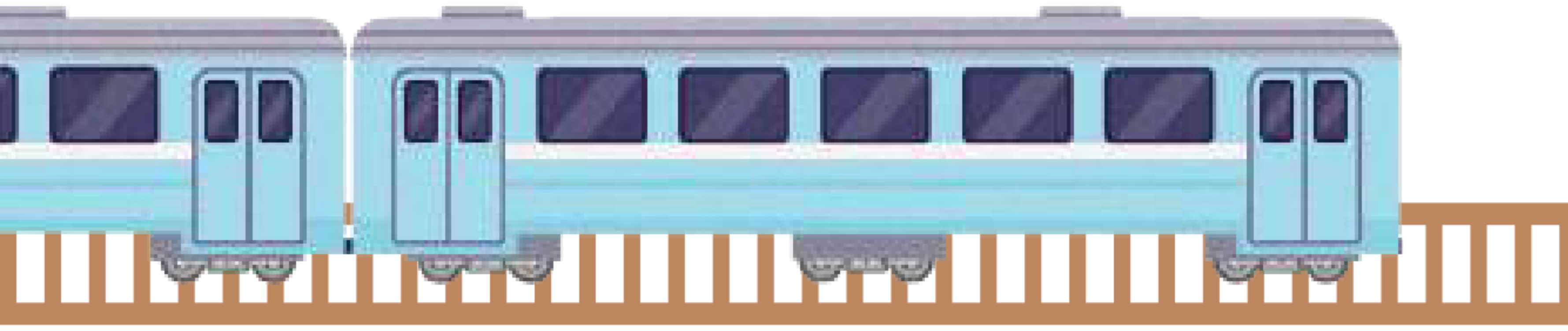


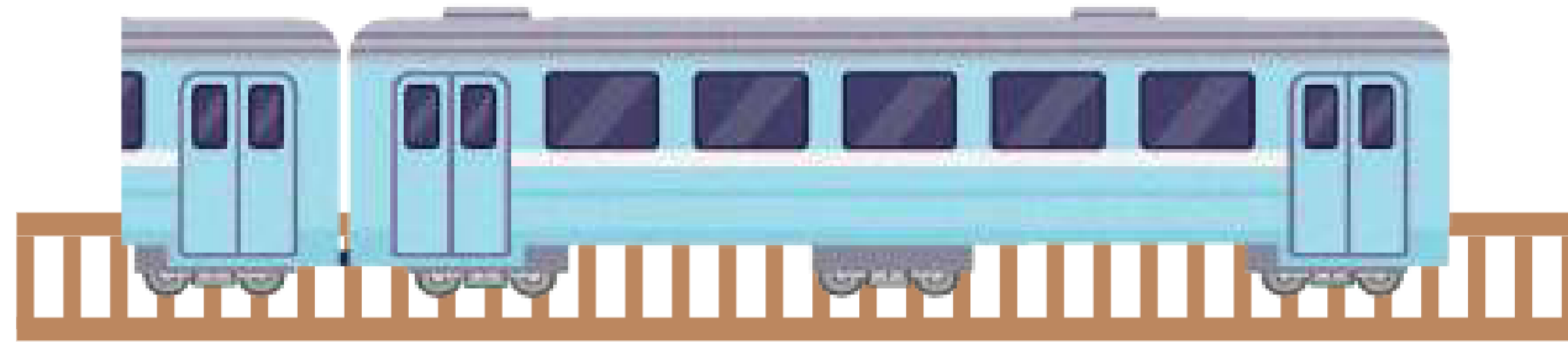


B. Variable Salary

An Employee gets this salary based on performance. It can be a combination of individual performance, divisional performance, and organizational performance. The variable salary can be paid on a monthly, quarterly, or yearly basis.

C. Bonus

It is an additional pay given over and above salary. **As of 2023, Statutory Bonus is required to be given by a profitable organization having more than 20 employees to all employees earning a monthly basic salary of INR 21000 or less.**



As per Payment of Bonus Act, the amount of Bonus is minimum 8.33% of the monthly salary of an employee or INR 7000, whichever is lesser. For example, an employee earns a Basic Salary + Dearness Allowance of INR 4800 per month then bonus will be INR 400 (8.33% of 4800). Another employee earns a basic salary of INR 9600 then bonus will be INR 583 (8.33% of INR 7000). In an organization where gross profit is higher, you are required to pay a bonus at a rate of up to 20% instead of 8.33%. Your finance team will help you with the rate.

In the End

You would have gotten an idea on how to structure the employees' salaries. However, to determine the exact amounts of partially taxable components, you need to understand the tax benefits offered by the government. Also, you should be familiar with the contributions you are required to make towards the statutory benefits like Provident Fund, Gratuity, Insurance, and ESIC.

And we must get the hang of variable pay and other one time bonuses. We will discuss these components in the next two chapters.

Salary structure should be creatively crafted to make employees feel good.